

Economic System & Planning

- **Economic System:** Arrangement for solving central problems of an economy.
- **Three Central Problems:**
 - What to produce?
 - How to produce?
 - For whom to produce?
- **Types of Economy:**
 - **Capitalist Economy (Market Economy):** Production decided by market forces.
 - **Socialist Economy (Socialism):** Production decided by government.
 - **Mixed Economy:** Co-existence of public and private sectors (India adopted this).
- **Economic Planning:** Utilisation of resources for development.
- **Planning Commission:**
 - Set up in 1950 by the Government of India.
 - Chairman: Prime Minister.
 - Objective: Promote rapid rise in standard of living, increase production, offer employment opportunities.
 - Implemented "Five Year Plans."
- **Five Year Plans:**
 - First plan: 1951-1956.
 - Last (12th) plan: 2012-2017.
 - **Plan Holiday:** 1966-69 (due to failure of Third Five Year Plan).
 - **Perspective Plan:** A plan to be achieved over 20 years.
- **NITI Aayog:** Replaced Planning Commission on January 1, 2015.

Agriculture (1950-1990)

Features of Agriculture (1950-1990)

- Low level of productivity
- Dependence on rainfall
- Disguised unemployment
- Subsistence farming
- Conflicts between landlords and tenants
- Fragmented landholdings

Land Reforms (Measures to Promote Growth)

- **Abolition of Intermediaries (Zamindars):**
 - Made tillers owners of land to stop exploitation.
 - Increased output and agricultural growth.
- **Regulation of Rent:**
 - Fixed rent, typically not exceeding 1/3rd of crop value.
- **Land Ceiling:**
 - Fixed limit on land ownership.
 - Surplus land allotted to landless farmers to promote equity.
- **Consolidation of Holdings:**
 - Provided farmers with land in one place instead of scattered plots.
- **Co-operative Farming:**
 - Encouraged to benefit small holders and consolidate gains.
 - Successful in Kerala and West Bengal due to government commitment.

Technical Reforms (Green Revolution)

- Adopted during the Third Five Year Plan (1960s).
- Replaced traditional practices with modern technology and inputs.
- Aim: Raise agricultural produce.

Steps Taken by Government:

- **Use of HYV (High Yielding Variety) Seeds:**
 - Replaced conventional seeds for wheat, bajra, rice, jowar, maize, cotton.
 - National Seeds Corporation formed for promotion and distribution.
 - HYV Programme first adopted in Kharif season (1965-1966).
 - M.S. Swaminathan: Known as the 'Father of Green Revolution'.
- **Use of Chemical Fertilizers:** Increased productivity.
- **Use of Insecticides and Pesticides:** Protected crops from diseases and insects.
- **Scientific Farm Management Practices:**
 - Focus on scientific cultivation methods for crop selection, seed quality, soil preparation, etc.
- **Mechanized Means of Cultivation:**
 - Introduction of tractors and tubewells.
 - Commercial banks provided aid to small farmers for purchasing machinery.

Phases of Green Revolution:

- **Phase 1 (Mid-60s to Mid-70s):**
 - Restricted to affluent states (Punjab, Andhra Pradesh, Tamil Nadu).
 - Primarily benefited wheat-growing regions.
- **Phase 2 (Mid-70s to Mid-80s):**
 - HYV technology spread to more states and variety of crops.

Important Effects of Green Revolution:

- Attaining marketable surplus of food grains.
- Creation of buffer stock of food grains.
- Benefit to low-income groups.
- Rise in agricultural productivity.

Industrial Development (1950-1990)

Role of Public Sector in Industrial Development

- Lack of capital in the private sector.

- Employment creation.
- Building strong infrastructure.
- Generation of income.
- Objective of social welfare.

Industrial Policy Resolution 1956 (IPR 1956)

- **Schedule A:**
 - 17 industries exclusively owned by the state.
 - Examples: Arms & ammunition, atomic energy, iron & steel, heavy machinery, mineral oil, railways.
- **Schedule B:**
 - 12 industries where the state would set up new enterprises.
 - Private enterprises could supplement state efforts.
 - Examples: Fertilizers, aluminium, machine tools.
- **Schedule C:**
 - Remaining industries developed by the private sector.
 - Required government license to open new industries or expand production.
 - Government provided subsidies and tax benefits for businesses in backward areas.

Small Scale Industries (SSI)

- **Karve Committee (1955):** Recognized SSI.
- **Investment Limit:**
 - 1950: ₹5 lakh.
 - Presently: Investment in Plant, Machinery & Equipment should not exceed ₹10 crore.
- Generally labour-intensive.

Role of SSI in Indian Economy:

- Employment generation.
- Contribution to exports.
- Welfare of the public.

P.C. Mahalanobis

- Architect of Indian planning.
- Started the journal "Sankhya".
- Established the Indian Statistical Institute.
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